

JOLLIBEE FOODS CORP JFC PM

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by

om730

2026 2027

Price:	144.00	EPS	9.00	11.00
Shares Out. (in M):	1,121	P/E	16	13
Market Cap (in \$M):	2,688	P/FCF	18	16
Net Debt (in \$M):	2,078	EBIT	340	400
TEV (in \$M):	4,766	TEV/EBIT	14	12

Description

Thesis

At its current share price of PHP 144 per share, approximately 56% below its all-time high reached in January 2019, Jollibee Foods Corporation (JFC PM) stock offers an attractive opportunity to invest in a high-quality, founder-led global restaurant operator at a compelling valuation. The company has a long runway for growth, supported by a strong portfolio of brands, a proven operating model, and an experienced management team with a demonstrated track record of value creation.

The stock's weakness reflects a series of temporary operational challenges that have compressed margins and resulted in earnings downgrades. These headwinds, however, appear to be temporary rather than structural. I believe operating margins will bottom during the first half of 2026, setting the stage for a multi-year earnings recovery. As margins normalize, I expect earnings per share to compound at a high-teens to low-twenties annual rate, accompanied by improving returns on invested capital (ROIC). As investor confidence returns, the shares have the potential to rerate toward their historical premium price-to-earnings multiple.

In addition to the improving operating outlook, management has identified several value-unlocking initiatives. The company intends to separate its international business through a spin-off and pursue an initial public offering of its Vietnam coffee business. These transactions should enhance transparency, highlight the value of Jollibee's international assets, and serve as meaningful catalysts for the stock.

History and Business Description

Jollibee Foods Corporation was founded in 1975 when Tony Tan Caktiong—formerly the company's Chief Executive Officer and now its Chairman and Chief Taste Officer—and his wife, Grace Tan Caktiong, opened their first ice cream shop in Manila. The business quickly evolved into a quick-service restaurant concept, laying the foundation for what has become one of the world's largest restaurant operators.

Jollibee was listed on the Philippine Stock Exchange in 1993. Since its IPO, the company has delivered exceptional long-term growth. Revenue has increased from approximately US\$100 million to US\$5.3 billion in 2025, while EBITDA has grown from approximately US\$22 million to US\$677 million over the same period. This growth has been driven by a combination of consistent same-store sales growth, an aggressive store expansion strategy, and the successful acquisition and development of complementary restaurant brands.

As of year-end 2025, Jollibee operated a global network of 10,341 restaurants across more than 30 countries. The company directly owned and operated 3,193 stores, consisting of 1,060 in the Philippines and 2,133 internationally, while an additional 7,148 stores were franchised, including 2,444 in the Philippines and 4,704 internationally.

Jollibee has approximately 1.12 billion shares outstanding. The Tan Caktiong family, together with management and affiliated executives, owns approximately 55% of the company, resulting in strong insider alignment with minority shareholders while preserving a meaningful public float.

Key Metrics	Years Ended December 31		
	2025	2024	vs. LY
	% Contribution to Total		Change
Global Revenues	100.0%	100.0%	0.0
Philippines	58.4%	60.9%	-2.5
International	41.6%	39.1%	2.5
Global Direct Costs	100.0%	100.0%	0.0
Philippines	58.2%	60.7%	-2.5
International	41.8%	39.3%	2.5
Global Gross Profit	100.0%	100.0%	0.0
Philippines	59.3%	61.7%	-2.4
International	40.7%	38.3%	2.4
Global Opex and Ads	100.0%	100.0%	0.0
Philippines	47.3%	49.3%	-2.0
International	52.7%	50.7%	2.0
Global Operating Income	100.0%	100.0%	0.0
Philippines	81.0%	87.3%	-6.3
International	19.0%	12.7%	6.3
Global NIAT	100.0%	100.0%	0.0
Philippines	112.5%	111.0%	1.5
International	-12.5%	-11.0%	-1.5

Key Metrics	Years Ended December 31		
	2025	2024	vs. LY
	Margins as % to Revenues		Change
Global Direct Costs	81.4%	80.8%	0.6
Philippines	81.1%	80.6%	0.5
International	81.8%	81.2%	0.5
Global Gross Profit	18.6%	19.2%	-0.6
Philippines	18.9%	19.4%	-0.5
International	18.2%	18.8%	-0.5
Global Opex and Ads	12.0%	12.9%	-0.9
Philippines	9.7%	10.4%	-0.7
International	15.2%	16.7%	-1.5
Global Operating Income	6.6%	6.3%	0.3
Philippines	9.2%	9.0%	0.2
International	3.0%	2.0%	1.0
Global NIAT	3.6%	3.8%	-0.2
Philippines	6.9%	7.0%	-0.1
International	-1.1%	-1.1%	0.0

Outlook

Jollibee is the clear market leader in the Philippine quick-service restaurant (QSR) industry, with approximately 42% market share—larger than the next three competitors combined. While the Metro Manila market is relatively mature, management estimates that QSR penetration in the rest of the country is only about 15%, highlighting a substantial opportunity for continued domestic expansion. Given Jollibee's dominant brand recognition, extensive distribution network, and strong unit economics, the company is well positioned to capture a significant share of this long-term growth.

The Philippines currently generates approximately 60% of consolidated revenue but contributes more than 100% of net income, as the international business remains only modestly profitable at the operating level and loss-making after tax. While gross margins are broadly comparable between the domestic and international businesses, operating margins are approximately 9% in the Philippines versus only 3% internationally. I believe this profitability gap is largely the result of temporary factors rather than structural disadvantages.

First, many of Jollibee's international markets have yet to reach sufficient scale. This is particularly evident in North America, where the company currently operates just over 100 company-owned Jollibee restaurants with industry-leading store-level economics but has already signed agreements with franchise partners to open approximately 200 additional locations by 2030. As store density increases and regional infrastructure is leveraged across a larger revenue base, fixed costs should be absorbed more efficiently, driving meaningful operating margin expansion.

Second, management has acknowledged several capital allocation and execution mistakes and is actively addressing them. Most notably, the acquisition of Smashburger has underperformed expectations and has weighed on consolidated profitability. The business is currently undergoing a restructuring focused

on improving restaurant economics, streamlining operations, and returning the brand to profitability. More broadly, management is rationalizing its international portfolio by simplifying organizational structures, improving operating discipline, and prioritizing markets and brands where it enjoys sustainable competitive advantages.

As these initiatives take hold, I believe the international business should transition from being a drag on earnings to becoming an increasingly important contributor to profit growth. Combined with the company's significant domestic expansion opportunity, this provides Jollibee with multiple avenues for sustained earnings growth over the coming years.

Valuation

At the current share price, Jollibee has a market capitalization of approximately US\$2.7 billion and an enterprise value of US\$4.7 billion, including approximately US\$0.9 billion of operating lease liabilities and US\$1.1 billion of net debt and preferred equity.

Over the past three years, consensus expectations have been materially revised downward. Fiscal 2026 EBITDA estimates have declined from approximately US\$860 million to US\$661 million, a reduction of 23%, while consensus now forecasts a roughly 10% decline in EPS versus 2025. As a result, the stock has experienced a significant derating, with its forward P/E multiple compressing from approximately 40x at its peak to just 16x 2026 earnings and 14x 2027 earnings.

In my view, the market is extrapolating today's depressed international profitability too far into the future. The current valuation largely reflects the mature Philippine business—which continues to grow, generates attractive returns on capital, and accounts for more than 100% of consolidated earnings—while assigning little, if any, value to the company's international platform. This ignores both the significant earnings leverage embedded in the international business as it scales and the strategic value of a portfolio of restaurant brands with a growing global footprint.

Importantly, management's capital allocation strategy should help narrow this disconnect. Earlier this year, the company announced plans to separate its international business through a U.S. listing in 2027 and to pursue an IPO of its market-leading Vietnam coffee business through a Vietnamese listing. These transactions should allow investors to value these businesses independently.

Even under today's depressed earnings profile, Jollibee generated a 14% return on equity in 2025. As management completes the rationalization of its international operations, improves margins through scale and operating discipline, and unlocks value through the planned listings, I believe both earnings and the valuation multiple can expand simultaneously. A return toward normalized profitability, coupled with a rerating closer to the company's historical premium valuation, could reasonably support a doubling of the share price over the next three years. Beyond that, investors would continue to own a founder-led business with a long runway to compound earnings through domestic expansion, international growth, and disciplined capital allocation.

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I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

- 1) Inflection in margins starting in 2H26.
- 2) Signs that international expansion is working.
- 3) Listing of Vietnamese subsidiary and spin off/listing of international operations in the US in 2027

Messages

Subject	Thoughts?
Entry	07/28/2026 11:16 AM
Member	redeye23

Thanks for bringing up a unique company, but there were many points that went unaddressed that deserve to be scrutinized

Capital allocation: JFC has burned large amounts of capital through diworsifying into Coffee Bean and Tea Leaf, Smashburger, and other concepts. What prevents them from continuing to do this?

Spinoff and IPO: Isn't this just continuing to complicate the entire story? Do you really think these are credible moves?

Profitability: Almost 100% of the profitability is in the Philippines. Can they really ignite profitability overseas.

China: This region has had subpar performance and there has been no strategic review. The successor has overseen this region and makes me wonder about the direction of this company.

Board: Still is filled with family members and insiders to the original founder. Are they adding value?

I want to like this company, but every time I look they appear unfocused. The core in the Philippines is great, but that growth engine is not what it used to be.

Subject	Broker Access
Entry	07/28/2026 08:17 PM
Member	JohnnyFinance

OM730 - For folks based in the U.S. or elsewhere, are there any brokers that provide access to the Phillippines equity market that you would recommend?